Major Policy Proposals for Building Infrastructure for 2035

First, infrastructure has a long life. Most investment is made upfront whereas services and returns flow over a long period of time. There is a considerable amount of uncertainty in long-term projections of returns. A 100-km road project with a life of twenty-five years requires an upfront investment of Rs 2500 crore, whereas toll collections cannot be estimated with any degree of certainty. India has given concessions of six airports for fifty years, which means investment in constructing city-side and airport terminal facilities incurred upfront would be recoverable over this long period. Several infrastructure projects have had problems as estimated traffic or revenues turned out to be very different from projections. Renegotiation of contracts is generally, and correctly, frowned upon, post-award events lead to disruption in operation of facilities and unproductive litigation.

All profitable infrastructure projects should be concessioned only on design, build, operate and transfer (DBOT) basis. All non-profitable infrastructure projects (which by their very nature would require the government to subsidize them) should be split in two packages: constructing the facility and monetizing it. The construction phase should be designed and built by the private sector at the public cost. The infrastructure facility can thereafter be monetized by using any of the models: INVIT, sale or any other appropriate mode.

In 2019, the government announced an NIP (National Infrastructure Pipeline). The NIP is a completely disappointing document with almost 75 per cent of envisaged investments of over Rs 100 lakh crore expected to come from the Centre and states. The government announced a National Monetization Pipeline (NMP) in the 2021–22 Budget.

The NIP has not moved an inch as it is only a listing of infrastructure projects and nothing more than that. Likewise, the existence of NMP merely will not make any monetization plan move. The NIP and NMP are